

C218

MBA, Information Technology Management Capstone

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A distributor's new warehouse management system, sold by a vendor based in Austin, costs \$400,000. It is expected to deliver \$520,000 in total net benefits over its life. Go-live is planned for the third quarter. What is the project's ROI?

- A. 130%
- B. \$120,000
- C. About 23%
- D. 30%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A company requires a 25% ROI on IT projects. A proposed project costs \$800,000. What is the minimum total benefit it must deliver?

- A. About \$1,066,667
- B. \$200,000
- C. \$1,000,000
- D. \$640,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A hospital's IT department has a \$2 million training budget this year. On its balanced scorecard, it tracks the percentage of help-desk staff certified on the new electronic health record system. The department moved to a new building in March. In which perspective does this measure belong?

- A. Learning and growth.
- B. Internal process.
- C. Financial, because of the training budget.
- D. Customer.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

Which measure belongs in the customer perspective of an IT department's balanced scorecard?

- A.** IT cost per user.
- B.** Business users' satisfaction score with IT services.
- C.** Training hours per IT employee.
- D.** Percentage of changes deployed without incident.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A maker of industrial sensors, founded by a former aerospace engineer, relies on a specialized processor made by only two companies worldwide. Switching between them would require a costly redesign. The sensor maker's stock rose 20% last year. Which of Porter's forces is strong here?

- A.** Bargaining power of suppliers.
- B.** Bargaining power of buyers.
- C.** Threat of new entrants.
- D.** Threat of substitutes.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A CIO at a 50-year-old insurance company wants to replace a legacy claims system. The system is paid off, and most staff are comfortable with it and see no reason to change. The company just hired a new head of HR. According to Kotter, what should the CIO do first?

- A.** Create a sense of urgency by showing the costs and risks of keeping the old system.
- B.** Mandate the change, since executive authority always overcomes resistance.
- C.** Announce early wins from the new system.
- D.** Form a guiding coalition to lead the change.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

The board of directors of a 2,000-employee insurer with offices in 12 states decides how much technology risk the company will accept and which major IT investments will be funded. It then reviews results every quarter. What is this activity?

- A. IT operations.
- B. Project management.
- C. IT governance.
- D. IT management.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

Which activity is IT management rather than IT governance?

- A. The board sets priorities for IT investment.
- B. Every IT decision, since all IT work is governance.
- C. The board approves the company's IT risk appetite.
- D. The IT operations manager schedules patching and assigns staff to meet agreed service levels.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A regional bank with 40 branches wins customers mainly through its own loan-pricing model, which competitors cannot copy. Its payroll process is the same as any other company's. The bank's IT staff recently completed cloud training. What should the bank build and what should it buy?

- A. Build both, since building always gives more control.
- B. Build or heavily customize the loan-pricing system; buy a standard payroll product.
- C. Buy the loan-pricing system and build payroll.
- D. Buy both, since packaged software is cheaper.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

An online retailer's board chair approved a \$1 million disaster-recovery budget. After an outage, the retailer can lose no more than 15 minutes of order data and must be back online within 4 hours. Its data center is in Virginia. Which statement is correct?

- A.** RTO is 15 minutes and RPO is 4 hours.
- B.** RPO is 15 minutes and RTO is 4 hours.
- C.** RPO and RTO are both 4 hours, since they are always equal.
- D.** Mean time between failures is 4 hours.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

A company backs up its database every 6 hours and has no other data protection. What is the best recovery point objective this can support?

- A.** An RTO of 6 hours
- B.** Zero data loss, since backups exist
- C.** 3 hours
- D.** 6 hours

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A regional airline founded in 2008 with 30 planes flies only between mid-size cities that major carriers ignore. It offers no frills and the lowest fares on those routes, aimed at price-sensitive leisure travelers. Its CEO was once a pilot. Which generic strategy is it using?

- A.** Cost leadership.
- B.** Differentiation focus.
- C.** Cost focus.
- D.** Differentiation.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A distributor's new warehouse management system, ~~sold by a vendor based in Austin,~~ costs \$400,000. It is expected to deliver \$520,000 in total net benefits over its life. ~~Go live is planned for the third quarter.~~ What is the project's ROI?

Target word: ROI **Decides:** (Benefit – cost) / cost.

A	Dropped element	\$520,000 / \$400,000 drops the subtraction of cost.
B	Adjacent category	That is the net gain in dollars, not a return rate.
C	Inverted operation	\$120,000 / \$520,000 divides by benefit instead of cost.
D	Correct	$(\$520,000 - \$400,000) / \$400,000 = 30\%$.

2. Answer C Concept 1 • transfer

A company requires a 25% ROI on IT projects. A proposed project costs \$800,000. What is the minimum total benefit it must deliver?

Target word: solve for benefit **Decides:** Benefit = cost × (1 + ROI).

A	Confusion set	\$800,000 / 0.75 treats 25% as a margin on benefit.
B	Adjacent category	That is the required net gain, not total benefit.
C	Correct	$\$800,000 \times 1.25 = \$1,000,000$.
D	Inverted operation	$\$800,000 \times 0.80$ shrinks instead of grows.

3. Answer A Concept 2

A hospital's IT department ~~has a \$2 million training budget this year.~~ On its balanced scorecard, it tracks the percentage of help-desk staff certified on the new electronic health record system. ~~The department moved to a new building in March.~~ In which perspective does this measure belong?

Target word: scorecard perspective **Decides:** Staff certification is capability building.

A	Correct	Employee skills and capabilities belong in learning and growth.
B	Adjacent category	Internal process measures how well work flows, such as ticket resolution time.
C	Camouflage	The budget figure does not make a skills measure financial.
D	Confusion set	Customer measures track users' views and outcomes.

4. Answer B Concept 2 • transfer

Which measure belongs in the customer perspective of an IT department's balanced scorecard?

Target word: customer measure **Decides:** Customer = how users see the service.

A	Adjacent category	A financial measure.
B	Correct	Measures the customer's view of IT.
C	Inverted operation	Looks inward at staff, the learning and growth side, not outward at customers.
D	Confusion set	An internal process measure.

5. Answer A Concept 3

A maker of industrial sensors, ~~founded by a former aerospace engineer~~, relies on a specialized processor made by only two companies worldwide. Switching between them would require a costly redesign. ~~The sensor maker's stock rose 20% last year.~~ Which of Porter's forces is strong here?

Target word: which force **Decides:** Few input sellers and high switching costs.

A	Correct	Concentrated suppliers with high switching costs can raise prices.
B	Inverted operation	Buyers are the firm's customers, the other end of the chain.
C	Adjacent category	The stem is about input sellers, not newcomers to the sensor market.
D	Confusion set	Substitutes are other products that meet the customer's need.

6. Answer A Concept 4

A CIO at a 50-year-old insurance company wants to replace a legacy claims system. ~~The system is paid off~~, and most staff are comfortable with it and see no reason to change. ~~The company just hired a new head of HR.~~ According to Kotter, what should the CIO do first?

Target word: first step **Decides:** Staff see no need for change.

A	Correct	Kotter's first step is establishing urgency.
B	Absolute language	Mandates without urgency tend to meet resistance.
C	Dropped element	Short-term wins come after the change is under way; it has not started.
D	Adjacent category	Step two; it follows urgency.

7. Answer C Concept 5

The board of directors of a ~~2,000-employee insurer with offices in 12 states~~ decides how much technology risk the company will accept and which major IT investments will be funded. It then reviews results every quarter. What is this activity?

Target word: governance or management **Decides:** The board sets direction and monitors.

A	Confusion set	Operations runs systems day to day.
B	Adjacent category	Project management runs individual projects, not enterprise risk appetite.
C	Correct	Evaluating, directing and monitoring at board level is governance.
D	Inverted operation	Management carries out the direction the board sets.

8. Answer D Concept 5 • transfer

Which activity is IT management rather than IT governance?

Target word: a management activity **Decides:** Management carries out direction.

A	Confusion set	Also governance.
B	Absolute language	Governance and management are distinct.
C	Inverted operation	Setting direction is governance.
D	Correct	Planning and running work to meet set targets is management.

9. Answer B Concept 6

A regional bank with 40 branches wins customers mainly through its own loan-pricing model, which competitors cannot copy. Its payroll process is the same as any other company's. The bank's IT staff recently completed cloud training. What should the bank build and what should it buy?

Target word: build vs. buy for each **Decides:** Loan pricing is the differentiator; payroll is a commodity.

A	Absolute language	Building commodity systems adds cost without advantage.
B	Correct	Invest in what differentiates; buy what is common.
C	Inverted operation	Exactly backward.
D	Dropped element	Drops the competitive value of the unique model.

10. Answer B Concept 7

An online retailer's board chair approved a \$1 million disaster recovery budget. After an outage, the retailer can lose no more than 15 minutes of order data and must be back online within 4 hours. Its data center is in Virginia. Which statement is correct?

Target word: RPO and RTO values **Decides:** Data loss limit = RPO; downtime limit = RTO.

A	Inverted operation	Swaps the two.
B	Correct	RPO limits lost data; RTO limits downtime.
C	Absolute language	They measure different things and are often different.
D	Confusion set	MTBF measures reliability, not recovery targets.

11. Answer D Concept 7 · transfer

A company backs up its database every 6 hours and has no other data protection. What is the best recovery point objective this can support?

Target word: achievable RPO **Decides:** Worst case, all data since the last backup is lost.

A	Confusion set	Backup frequency sets data loss, not downtime.
B	Absolute language	Data written after the last backup is lost.
C	Adjacent category	That is the average loss, not the worst-case limit an RPO must cover.
D	Correct	A failure just before the next backup loses up to 6 hours of data.

12. Answer C Concept 8

A regional airline founded in 2008 with 30 planes flies only between mid-size cities that major carriers ignore. It offers no frills and the lowest fares on those routes, aimed at price-sensitive leisure travelers. Its CEO was once a pilot. Which generic strategy is it using?

Target word: generic strategy **Decides:** Low cost aimed at a narrow segment.

A	Adjacent category	Cost leadership targets the broad market.
B	Confusion set	Right scope, wrong basis of competition.
C	Correct	Low prices within a narrow market segment.
D	Inverted operation	Differentiation competes on uniqueness, not lowest price.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	9	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	5	
Confusion set	Every option is real; the test is exact role-matching.	9	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Return on investment	ROI = (total benefit – cost) / cost.	Dividing benefit by cost without subtracting, or dividing by benefit.	A project cost and its total benefits.
2	Balanced scorecard perspectives	Financial, customer, internal process, and learning and growth; skills and training sit in learning and growth.	Placing a people-development measure under internal process or financial.	A single metric and the question of where it belongs.
3	Porter's five forces	Rivalry, threat of new entrants, threat of substitutes, buyer power and supplier power shape industry profit.	Mixing up supplier power with buyer power or substitutes.	Who holds leverage: sellers of inputs, customers, rivals, newcomers, or other products.
4	Kotter's change model	Change starts with a sense of urgency, then a guiding coalition, a vision, and communication, before wins are built and anchored.	Starting with a mandate or a team before people see why change is needed.	Staff comfortable with the status quo and a leader asking what to do first.
5	IT governance vs. IT management	Governance (board level) evaluates, directs and monitors: it sets direction, risk appetite and priorities; management plans, builds, runs and monitors day-to-day work to meet them.	Calling any important IT activity "governance."	Who acts (board or managers) and whether they set direction or carry it out.
6	Build vs. buy	Build or customize what gives a competitive edge; buy standard, commodity capabilities.	Choosing on cost or control alone without asking what differentiates the firm.	One capability that is unique and one that is common to every firm.
7	RTO vs. RPO	Recovery time objective = how long the system may be down; recovery point objective = how much data, measured in time, may be lost.	Swapping the two.	A limit on downtime and a limit on data loss in the same stem.
8	Porter's generic strategies	Cost leadership and differentiation target a broad market; cost focus and differentiation focus target a narrow segment.	Ignoring market scope when naming the strategy.	How broad the target market is, and whether the firm competes on price or uniqueness.

Course scope (public description): MBA Information Technology Management Capstone is the culminating course in the MBA ITM program that provides an integrative experience with all competencies and assessment topics throughout the program. Students synthesize concepts from previously completed coursework and demonstrate an understanding of responsible practices for growing and running a business. This course promotes a meaningful connection between the academic work and career experience.